

HOW TO IDENTIFY TRENDLINES ?

The biggest challenge is to identify trendlines. We will do so by connecting the recent highs and recent lows with one another. Whenever we see a straight line forming, we can say that these are trendlines i.e. support and resistance levels fall along these lines. More the number of recent highs on a particular line, the stronger is the resistance at this level as the line has been tested multiple times. This will give us the resistance line.

Similarly, more the number of recent lows on a particular line, stronger is that support line as it has been tested multiple times. Also, resistance levels can become support levels after a breaking out and vice versa.

It is pretty common for analysts to fall in trouble for overdoing trendlines. They try to read too much into the lines in an attempt to identify patterns even in the absence of such support or resistance. We will be careful of this and identify trendlines only when there is a pattern that exists.

